



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Kunal Bhatia (022) 67141442

Result Update @ Dalal & Broacha

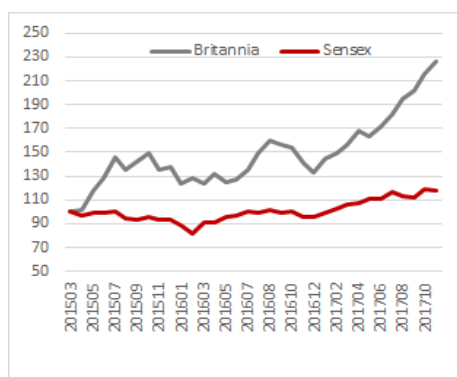
HOLD

Current Price 4734
52 Week Range Rs 4926/2776

Key Share Data

Market Cap (Rs.bn) 568.4
Market Cap (US\$ mn) 8740
No of o/s shares (mn) 120
Face Value 2.0
Monthly Avg. vol(BSE+NSE) 141
Nos'000
BSE Code 500825
NSE Code BRITANNIA
Bloomberg BRIT IN

Price performance



Britannia Q2FY18 Results

Q2FY18 consolidated results were better than expectations. Net Revenues (excluding excise last year and GST current year) increased by 6.6% YoY to Rs 25452.9mn supported by ~6% volume growth in Domestic Sales, rural sales witnessed double digit growth.

EBIDTA increased by 11.4% YoY to Rs 3766.5mn, EBIDTA margins stood at 14.8% as against 14.2% YoY supported by lower other expenses.

As percentage to revenues: other expenses stood at 18.7% as against 19.7% due to cost efficiency, Raw Materials cost stood at 62.2% as against 62.4% last year commodity prices remained stable no plans to take price increases.

Q2FY18 PAT increased by 11.5% YoY to Rs 2610.3mn.

Britannia Conference Call KTA's

-Volume: Domestic Sales was ~6%, Dairy witnessed negative growth as some un-profitable products discontinued (however Cheese volumes were up 10%).

-Bread's grew in in double digit with improved profitability. Cakes and Rusks grew above average.

-Cost Inflation in Q2FY18: Flour -6%, Sugar +7%, Refined Palm Oil -3%, Milk +14% / Milk prices have started showing some correction. No price increases required at the moment.

-Distribution Reach: Britannia reaches ~1.7mn outlets directly, and total reach stands at 4.7mn outlets, the company plans to add 2-2.5 lacs outlet annually.

-New launches: Goodday Wonderfulls and Treat Renovation. "Drinkables" in Dairy launched.

-Cost efficiency for FY18 stands at 60% higher than FY17 from Rs 1.45bn to Rs 2.5bn. Distance to market reduced by 33% to 400kms would like to further reduce by 25%.

Employee cost: One-off Rs 170mn for long awaited pension matter which is closed now.

- Weak States: Continued to see good growth market share gained 170bps.

-Croissants to be made in the new (Foodpark) plant at Ranjangaon, equipments ordered the product has a shelf life of 4 months plus.

-Expansion plans: 2 new plants i.e. Gujarat and Guwahati this year would add ~60000 tons capacity; that will add 6% to the current capacity

-Food Park in Ranjangaon: Land allocated. The company will manufacture biscuits, cakes rusks and also Croissants for JV. This plant will add 1.1 lakh tons capacity i.e. ~10% of the total capacity at that time. Strategic location for Dairy as well. **TotalCapex** for FY18 Rs 4bn (excluding Dairy plans)

-Target to reach one new geography every year starting with Nepal in current year (with local operations by Q4FY18) and one new category to become a complete food company.

Q3FY18 should be good low base on a/c of demonetization.

Valuations @ Rs 4734 the stock trades at 56x its FY18e EPS of Rs 85 and 44x its FY19e EPS of Rs 107. New capex plans already in place and the company's endeavour to explore opportunity in dairy which is a big opportunity in India we believe the growth potential for Britannia is here to stay. We have a HOLD rating on the stock. for Longterm

% Shareholding	Sep-17	Dec-16
Promoters	50.70	50.71
Institutions	29.15	28.69
Others	20.15	20.61
Total	100.0	100.0



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Particulars (Rs Mns)	Q2FY18	Q2FY17	Growth	H1FY18	H1FY17	Growth
Gross Sales	25365.3	24302.8	4.4%	48374.6	45924.4	5.3%
Less Excise Duty		-691.3	-100.0%	-761.1	-1249.8	-39.1%
Net Sales	25365.3	23611.5	7.4%	47613.5	44674.6	6.6%
Other Op Income	87.60	258.20	-66.1%	476.4	602.8	-21.0%
Total OP Income	25452.9	23869.7	6.6%	48089.9	45277.4	6.2%
Add: O. Income	508.2	411.7	23.4%	860.2	806.0	6.7%
Total Income	25961.1	24281.4	6.9%	48950.1	46083.4	6.2%
EXPENDITURE						
Inc/Dec in stk	-663.3	85.2	-878.5%	-918.9	208.2	-541.4%
Cons of R. Mat	-12913.5	-12917.1	0.0%	-24494.4	-24213.1	1.2%
Purch of Trad Goods	-2263.4	-2070.5	9.3%	-4299.8	-3776.2	13.9%
Employee Cost	-1069.8	-879.7	21.6%	-1996.1	-1747.4	14.2%
O. Exps	-4766.4	-4698.7	1.4%	-9319.1	-9198.0	1.3%
Total Expenditure	-21676.4	-20480.8	5.8%	-41028.3	-38726.5	5.9%
EBIDTA	4284.70	3800.60	12.7%	7921.80	7356.90	7.7%
EBIDTA Less O. Inc	3776.50	3388.90	11.4%	7061.60	6550.90	7.8%
Less Int	-14	-15.3	-8.5%	-26.7	-30.3	-11.9%
Less Depn	-336.4	-289.3	16.3%	-668.3	-567.9	17.7%
<i>Less Exceptional</i>				0.0	0.0	
PBT Before Exceptional	3934.30	3496.00	12.5%	7226.80	6758.70	6.9%
PBT	3934.30	3496.00	12.5%	7226.80	6758.70	6.9%
Less Tax	-1325.50	-1155.70	14.7%	-2458.3	-2226.9	10.4%
<i>Extraordinary Net</i>				0.0	0.0	
PAT	2608.80	2340.30	11.5%	4768.50	4531.80	5.2%
Share of Profit/Loss from Associate	1.5	0.2	650.0%	3.0	0.8	275.0%
PAT Reported	2610.30	2340.50	11.5%	4771.50	4532.60	5.3%
PAT Adjusted	2610.3	2340.5	11.5%	4771.5	4532.6	5.3%
Other Comprehensive Income (net of Tax)	9.5	-13.5	-170.4%	5.7	0.5	1040.0%
Total Comprehensive Income	2619.8	2327.0	12.6%	4777.2	4533.1	5.4%
Equity	240.1	240		240.1	240	
EPS (Reported PAT)	21.74	19.50	11.5%	39.75	37.77	5.2%
EPS (Adjusted PAT)	21.74	19.50	11.5%	39.75	37.77	5.2%
OPM	14.8%	14.2%		14.7%	14.5%	
NPM	10.0%	9.6%		9.7%	9.8%	
Tax Rate	-33.7%	-33.1%		-34.0%	-32.9%	
% to Operating Income						
Inc/Dec in stk	-2.6%	0.4%		-1.9%	0.5%	
Cons of R. Mat	-50.7%	-54.1%		-50.9%	-53.5%	
Purch of Trad Goods	-8.9%	-8.7%		-8.9%	-8.3%	
RAW MATERIALS	-62.2%	-62.4%		-61.8%	-61.4%	
Employee Cost	-4.2%	-3.7%		-4.2%	-3.9%	
O. Exps	-18.7%	-19.7%		-19.4%	-20.3%	
Total	-85.2%	-85.8%		-85.3%	-85.5%	



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